

Indian Railway Finance Corporation Ltd

IRFC | Unknown

26,902.0

Revenue (■ Cr)

6,537.0

Net Profit (■ Cr)

13.0%

ROE

99.5%

OPM

8.4

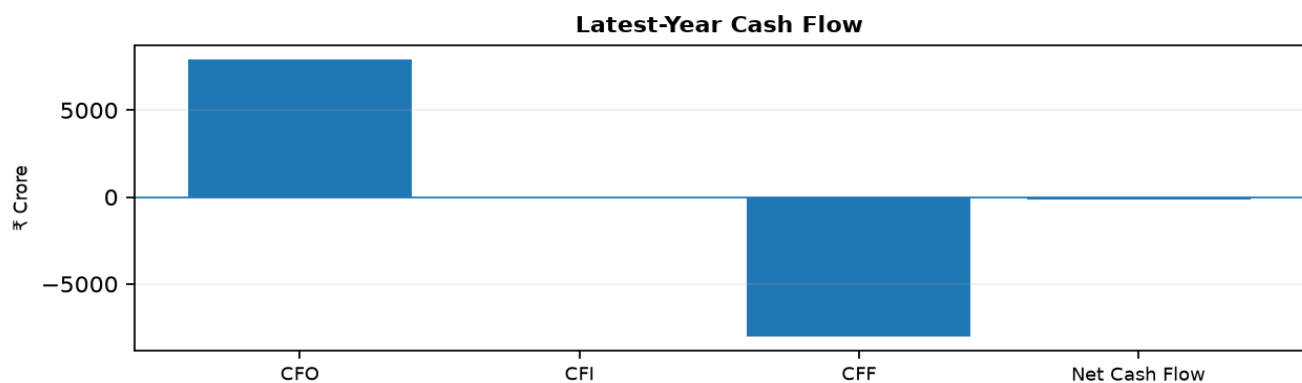
Debt / Equity

7,906.0

Free Cash Flow (■ Cr)

Financial Performance

Balance Sheet & Cash Flow Intelligence



CAPITAL ALLOCATION: Deleveraging

PROS

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow

CONS

- Debt-to-equity ratio of 8.38 is elevated for a non-financial company and warrants monitoring
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations